valuation period"? We will examine that question in this chapter from the point of view of valuation indicators and in the next chapter from general manifestations of investor psychology.

VALUATION

Monetary value is what people will pay for something. It is objectively definable only with regard for the existence of people and their attitudes. This fact particularly pertains to investment prices, which are governed almost entirely by the mental states of those bidding and asking in an auction market. The stock market bestows greatly divergent values upon various real things at different times, the most important of these being (1) dividends, (2) the value of corporate assets, and (3) the yield on high grade bonds. When it comes down to actually valuing stock certificates apart from their appreciation potential, these are the only values that matter. An investor trades his money for a quarterly payment called a *dividend* plus the guarantee that if the company had to, it could *liquidate* and divide up the result among shareholders, and he takes this action in lieu of lending his money out at *interest* to a solid, healthy debtor. In past markets, stocks have yielded as little as 3% in dividends and as much as 16%. They have been valued as high as 4.2 times corporate book value (which is the dollar value of assets on the firm's balance sheet) and as little as .57 times. They have yielded as much as 4 times as much as bonds and as little as 0.4 as much. The difference is due to one thing: people's opinion about the *capital gain potential* from stocks, i.e., the extent to which they are bullish or bearish. Therefore, the extremity of such valuations is a direct measure of investors' optimism or pessimism.

Earnings: the Least Reliable Basis for Valuation

Many analysts include stock prices vs. earnings among their valuation models, but earnings are not real to the investor. This fact disqualifies earnings as a good benchmark of value. Even those who do not accept this argument must admit that earnings themselves cycle so severely that the ratio can fluctuate substantially regardless of stock price movement. For proof of this observation, study Figure 10-1, which shows aggregate earnings for the S&P 500 companies over the past forty years annotated with comments regarding the bull and bear markets of the period. Strictly from this juxtaposition, one might be far more likely to postulate that there is a negative correlation between stock prices and earnings than that